



CA INTER MAY/SEP 26/JAN 27

GST

**REVERSE CHARGE
MECHANISM (RCM)**

ONE SHOT

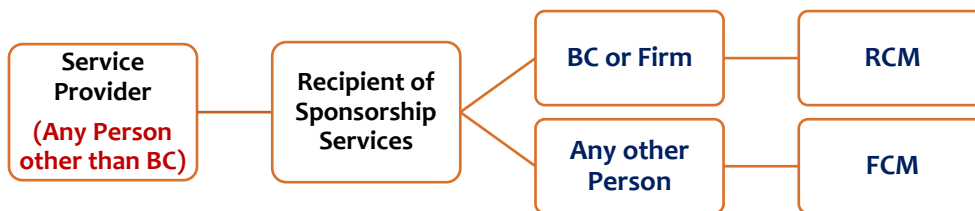


Reverse Charge Mechanism (RCM)

RCM = Liability to pay tax by the recipient of G/S or both directly to government on notified supplies [Section 9(3)].

1. Sponsorship Services

SP	Any person other than Body Corporate
SR	Any body corporate or partnership firm



Analysis of Sponsorship services

SP	SR	Mechanism	Person Liable to Pay GST
A Ltd.	Mr. X	FCM	A Ltd.
Mr. A	Mr. Y	FCM	Mr. A
Mr. A	XYZ Firm	RCM	XYZ Firm
ABC Firm	C Ltd.	RCM	C Ltd.

2. Services of Director

SP	Director
SR	Any company or body corporate

Services of Director	Treatment
To company in independent capacity	FCM
To company as a Director (attending board meetings)	RCM
To company as a Employee	No GST

3. Services of Insurance Agent

SP	An insurance agent
SR	Any person carrying on an insurance business

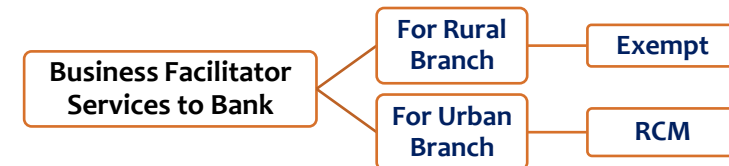
4. Services of Recovery Agent against Commission / Fees

SP	A recovery agent
SR	A banking company or a financial institution or NBFC

5. Services of Business facilitator to Bank

SP	Business facilitator
SR	A banking company located in taxable territory

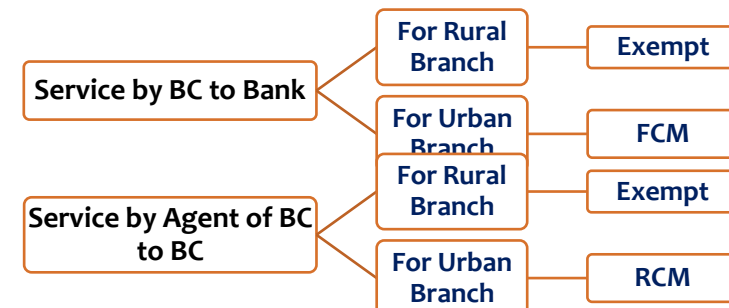
- ✓ **Business Facilitator** = who helps bank to grow his business
- ✓ They refer clients to Bank, pursue clients for proposal & facilitate bank to carry out the transaction, but they cannot transact on behalf of Bank



6. Business correspondent services

SP	Services provided by an agent of BC to BC
SR	BC located in the taxable territory

They are similar to **business facilitator**, but they are authorized to transact (i.e. accept deposit or lend money) on behalf of Bank



7. Security Services

SP	Any person other than BC
SR	A Registered person located in taxable territory
	Such Services provided to following persons are not covered under RCM:
	- Department or establishment of - Central Government - State Government - Union Territory - Local Authority - TDS deductors - Composition Supplier

8. Services by GTA (Goods Transportation Agency)

Option 1 (Default)

RCM will apply on such services

- a) GTA shall not be allowed to claim ITC
b) GST rate shall be 5%

SP	GTA
SR	Notified persons
Notified Persons	- Any Factory - Any society registered under Societies Act, 1860 - Any co-operative society - Any person registered under GST - Any BC - Any firm/BOI/AOP - Any casual taxable person
	However, Services of GTA is exempt if provided to: - Department/establishment of CG/SG/ UT or Local authority - To any unregistered person - To TDS Deductors

Option 2

GTA has option to avail FCM

- a) With ITC – Pay GST = 18%; Without ITC – Pay GST = 5%
b) Issue Tax Invoice with declaration of forward charge.

9. Legal services by Arbitral Tribunal / Advocate / Firm of Advocate

SP	Arbitral Tribunal/Advocate/Firm of advocate
SR	Any business entity if Turnover exceeds threshold limit

Note: Services of court and Tribunal set up under any law e.g. NCLT are covered under negative list (Schedule III) and hence, shall not be Taxable under GST

Services of Arbitral Tribunal/Advocate/Firm of advocate	Treatment
To Government	Exempt
To Non Business Entity	Exempt
To Business Entity whose PFY T/o > Reg. threshold	RCM
To Business Entity whose PFY T/o < Reg. threshold	Exempt

10. Renting of Land/Building by CG/SG/UT/LA except Ministry of Railways

SP	CG excluding Indian Railways, SG, UT or local authority
SR	To Any Reg person – RCM Apply; To URP – FCM Apply.

11. Renting of Residential property by any person other than CG/SG/UT/LA

SP	Any person
SR	Any registered person



12. Renting of any Immovable Property other than Residential Dwelling

SP	SR	
Unregistered Person	Registered Person Other Than Composition Supplier	RCM
Unregistered Person	Unregistered	FCM
Registered	Any Person	FCM
Unregistered	Composition Supplier	FCM

13. Services by Government or Local Authority

SP	Government or Local Authority
SR	Any business entity located in the taxable territory
	Such services shall not include: • Renting of immovable property, • Services by the Department of Posts and the Ministry of Railways • Services in relation to an aircraft or a vessel, inside or outside the precincts of a port or an airport • Transport of goods or passengers.

14. T/f of goods by Vessel from a place o/s India up to the custom port in India

SP	A person located in non-taxable territory
SR	Importer

15. Security lending services

SP	Lender i.e., a person who deposits the registered securities
SR	Borrower i.e., a person who borrows the securities under approved scheme of SEBI

Following services are involved under this transaction: -

S. No.	Service provider	Service recipient	Taxability
1.	Broker	Security owner	FCM

2.	Broker	Security borrower	FCM
3.	Security owner	Security borrower	RCM

16. Services by overseeing committee to RBI

SP	Overseeing committee
SR	Reserve Bank of India

17. Import of service (u/s 7(1)(b) & 7(1)(c) read with Schedule I)

SP	Any person who is located in a non-taxable territory
SR	Any person located in the taxable territory Except: No such reverse charge shall be applicable in case of OIDAR services received by an unregistered person.

Note: Import of service for personal purpose & Consideration paid (Supply u/s 7(1)(b)) is exempted from GST

OIDAR: Online Information Database Access or Retrieval Service
Example: NETFLIX / Google drive / Microsoft cloud service

18. Person liable to pay GST on renting of motor vehicle service

RCM shall be applicable on Service by way of renting of any motor vehicle if following conditions are satisfied:-

1. Motor vehicle meant to "carry passenger" car/bus
2. SP shall be any person other than body corporate
3. SR shall be body corporate
4. Rent includes cost of fuel

If above conditions are satisfied then, such services shall be taxable at the following two rates:

1. @ 5% (2.5% CGST+2.5% SGST/UTGST or 5% IGST) provided supplier of services has taken only the limited ITC (of input services in the same line of business) or
2. @ 18% (9% CGST+9% SGST/UTGST or 18% IGST) where supplier of services opts to pay GST at said rate.



In this case, there is no restriction on availing ITC on goods or services used in supplying renting of motor vehicles service by the supplier of service.

Analysis

Service provider	Service recipient	Cost of fuel included	Taxability
A Ltd.	B Ltd.	Yes	FCM (A Ltd. is liable to pay GST)
Mr. P	Mr. S	Yes	FCM (Mr. P is liable to pay GST)
Mr. P	B Ltd.	No	FCM (Mr. P is liable to pay GST)
Mr. P	B Ltd.	Yes	RCM (B Ltd. is liable to pay GST)

Conclusion

Renting of Motor Vehicles	GST @ 12%	FCM Applicable
	GST @ 5%	RCM Applicable

Clarifications:

- It is clarified that where BC hires the MV (for transport of employees, etc.) for a period of time, during which MV shall be at the disposal of the BC, the service would fall under “renting of motor vehicle service”, and the BC shall be liable to pay GST on the same under RCM.
- However, where BC avails the passenger transport service for specific journeys or voyages and does not take vehicle on rent, the service would fall under “transport of passenger service” and BC shall not be liable to pay GST on the same under RCM.

Section 9(5) – Notified services tax on which is paid by the electronic commerce operator (ECO)

Following categories of services supplied through ECO has been notified for this purpose

S. No.	Category of Service	Exceptions Section 9(5) Not Apply i.e. FCM is Applicable
(a)	Transportation of passengers by radio-taxi, motorcab, maxicab, motorcycle, or any other motor vehicle	No specific exception
(b)	Transportation of passengers by omnibus	Not applicable where service provider is a company
(c)	Accommodation services (hotels, inns, guest houses, clubs, campsites, etc.)	Not applicable if supplier is liable for registration u/s 22(1)
(d)	Housekeeping services (plumbing, carpentry, etc.)	Not applicable if supplier is liable for registration u/s 22(1)
(e)	Restaurant services (other than those at specified premises)	Specified premises excluded A place providing hotel accommodation where tariff of any room/unit > ₹7,500 per day (or equivalent)
(f)	Local delivery services	Not applicable if supplier is liable for registration u/s 22(1)





THANK
YOU